

Jacob Toner Gosselin

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Education

Northwestern University	Evanston, IL
PhD Candidate in Economics	2022-
Committee: Lawrence Christiano (Chair), Alireza Tahbaz-Salehi, Benjamin Jones, and Kunal Sangani	
Northwestern University	Evanston, IL
MA in Economics	2022-2024
The University of Chicago	Chicago, IL
BA with Honors in Economics, BS in Mathematics, minor in Creative Writing	2015-2019

Fellowships and Awards

Dissertation Fellowship, Federal Reserve Board	2026
Distinguished Teaching Assistant Award, Northwestern University	2024
Graduate Student Fellowship, Northwestern University	2022-2025

Working Papers

The Rise of Negative Earnings and Demand Shifting Investment

We document the rise of negative earnings between 1980 and 2019: a secular increase in the percent of firms reporting losses, both among public firms and in the broader universe of US corporations, and a secular increase in the persistence of losses year-to-year among public firms. This rise has occurred alongside a spreading of the sales and earnings distribution and a recomposition of firm spending away from production costs and traditional investment and towards selling, general and administrative expenses. We rationalize these phenomena with a model of heterogenous firms engaging in *supply and demand shifting investment*. Our model includes a *scale elasticity of demand* determining the relationship between the intensive margin of demand (demand per customer) and the extensive margin of demand (number of customers). We are able to quantitatively match the rise in reported losses and qualitatively match (1) the increased persistence of losses, (2) the spreading of the sales and earning distribution and (3) the recomposition of firm spending with this parameter as the single driver of changes across steady state equilibria. The rise in the scale elasticity associated with the increase in reported losses has non-trivial aggregate implications: in our model it lowers GDP by -9.1% by reallocating labor away from goods and capital production and reallocating demand away from productive firms.

Sector-Specific Substitution and the Effect of Sectoral Shocks

How a shock to an individual sector propagates to the prices of other sectors and aggregates to GDP depends on how easily sectoral goods can be substituted in production, which is determined by the intermediate input substitution elasticity. Past estimates of this parameter in the US have been restrictive: they have assumed a common elasticity across industries, and have ignored the use of imports in production. This paper uses a novel empirical strategy to produce new estimates without these restrictions, by exploiting variation in import ratios and in input expenditure shares within industries rather than across industries. I find that sectors differ meaningfully in their ability to substitute inputs in production, and that the uniform estimate of the intermediate input substitution elasticity is biased downwards relative to the median sector-specific estimate. Relative to imposing the uniform elasticity, sector-specific substitution causes domestic prices to rise more in response to oil import shocks and less in response to semiconductor import shocks. It also implies the average GDP response to a sectoral business cycle is 0.35% higher, making sectoral business cycles 17.7% less costly.

Presentations

2026

Midwest Macro, NASMES

Research Experience

Research Assistant, Professor Vivek Bhattacharya, Northwestern University	2024
Research Assistant, Professor Seema Jayachandran, Northwestern Univeristy	2020-2022

Teaching Experience

Industrial Organization (Graduate), Professor Gaston Illanes, Northwestern University	2024
Health Economics, Professor Frank Limbrock, Northwestern Univeristy	2024
International Finance, Professor Richard Walker, Northwestern Univeristy	2024
International Finance, Professor Lawrence Christiano, Northwestern Univeristy	2023

Technical Skills, Language Skills, and Interests

Programming Languages: Experienced in Python, Matlab, Julia, **R**, Stata, $\text{\LaTeX}$, and Git for version control.

Languages: English (Native), Spanish (Basic)

Volunteering: Former AmeriCorps VISTA; volunteer tutor with Chicago Peace Corps throughout college.

Interests: Running (doing it and watching it); Basketball(just watching it, mostly NBA but some college).